

LEC # 07

PRINCIPLE OF MANAGEMENT

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The Controlling Process

The **controlling process** is one of the key functions of management. It ensures that all parts of the organization are working effectively toward the set goals. In simple terms, controlling helps a business check whether everything is going as planned. If something goes off track, control allows managers to find the problem and fix it. It is like a feedback system that helps maintain performance and improve efficiency.

Steps in the Control Process

The control process in management involves four important steps. These steps help ensure that the organization is working efficiently and meeting its goals. Let's understand each step in detail:

1. Setting Performance Standards:

The first step in the control process is to decide what the organization wants to achieve. These are called performance standards. A standard is like a goal or target that helps managers

know what success looks like. For example, a company may set a sales target of 500 units per month or a customer satisfaction score of 90%. These standards provide a clear direction and help compare actual performance later on.

2. Measuring Actual Performance:

Once standards are set, the next step is to check how things are actually going. This means collecting information about employee output, sales results, service quality, or any other key area.

Performance can be measured using reports, observations, surveys, financial data, or software tools. Accurate measurement is important because it tells the manager whether things are working properly or not.

3. Comparing Performance with Standards:

In this step, the manager compares the measured performance with the standards set earlier. This helps identify any differences or gaps. If the actual performance matches or exceeds the standard, it means the work is on the right track. But if there is a big gap (for example, sales are much lower than expected), it shows a problem that needs to be addressed. This comparison is like a report card for the organization.

4. Taking Corrective Action:

If there is a gap between actual performance and the standard, the final step is to take corrective action. This means fixing the problem. It may involve improving training, changing a process, increasing motivation, or even using better technology. The aim is to bring performance back to the desired level and prevent the same issue in the future. Corrective actions help the organization grow and improve continuously.

Types of Control

In management, control is used to ensure that tasks are done correctly and goals are met. There are **three main types of control** used in organizations: **Operational Control**, **Structural Control**, and **Strategic Control**. Each one focuses on different levels of the organization.

1. Operational Control:

This type of control focuses on the **day-to-day activities** of the organization. It makes sure that employees and departments are performing their tasks efficiently and on time. Operational

control is short-term and deals with specific actions like production output, attendance, daily sales, customer service quality, etc. For example, a restaurant manager checking food quality or staff punctuality is applying operational control.

2. Structural Control:

Structural control is related to how the organization is **designed and structured**. It ensures that the company's framework (such as departments, reporting lines, and workflows) is working effectively. Managers use structural control to check whether roles and responsibilities are clear, whether coordination is smooth between teams, and whether authority is well-distributed. For example, if two departments are duplicating work or have unclear roles, structural control helps identify and fix these issues.

3. Strategic Control:

Strategic control looks at the **long-term goals and overall direction** of the organization. It checks whether the strategies planned by top management are being followed and whether they are leading the company towards success. This type of control focuses on things like market share, innovation, investment decisions, and growth strategies. For example, if a company aims to enter a new market, strategic control ensures that proper steps are being taken and progress is regularly reviewed.

Managing Total Quality and Productivity

Managing total quality and productivity is essential for organizations that want to deliver high-value products and services while staying competitive. It focuses on improving both **the quality of work** and **the efficiency of operations** across all departments.

1. Total Quality Management (TQM)

Total Quality Management (TQM) is a management approach that focuses on improving the **quality of products and services** across the entire organization. The main goal of TQM is to achieve **long-term success** by **satisfying customer needs**. It is not just the responsibility of one department like quality control or inspection; instead, **every employee at every level** is responsible for quality.

TQM is built on the idea that **quality should be built into everything the organization does**, from how it communicates with customers to how it manufactures products or delivers services. For example, in a manufacturing company, TQM would ensure that raw materials are of high quality, machines are properly maintained, and workers are trained to do their jobs accurately.

2. Continuous Improvement (Kaizen):

This concept means **constantly finding small ways to improve** processes, products, or services. Instead of making big changes all at

once, employees are encouraged to suggest small improvements regularly. Over time, these small changes lead to big gains in quality and efficiency. For instance, if a delivery system is frequently delayed, employees might suggest shorter routes or better scheduling to improve speed.

3. Customer Focus:

Managing quality starts with understanding **customer needs and expectations**. The goal is to meet or exceed those expectations every time. Organizations gather customer feedback, analyze complaints, and use this information to improve their products and services. For example, an e-commerce company may redesign its mobile app if users report difficulty during checkout.

4. Employee Involvement:

Quality and productivity cannot be managed by managers alone; **all employees must be involved**. This means giving workers the training, tools, and authority to take responsibility for the quality of their work. When employees feel empowered and valued, they work with more motivation and care.

5. Productivity Management:

Productivity is about **how efficiently inputs (like time, money, and effort) are turned into outputs (products or services)**. To improve

productivity, businesses try to reduce waste, automate repetitive tasks, and improve workflows. For example, a company might use software to automate data entry or use project management tools to avoid delays.

6. Balancing Quality and Cost:

Good quality should not always mean higher costs. The goal is to **improve quality while reducing unnecessary expenses**. This can be done by streamlining processes, training employees better, and reducing errors or defects that result in rework.